



Project Information Document (PID)

Concept Stage | Date Prepared/Updated: 28-Jun-2025 | Report No: PIDDC01229



BASIC INFORMATION

A. Basic Project Data

Project Beneficiary(ies)	Operation ID P508948	Operation Name Digital Eswatini	
Region EASTERN AND SOUTHERN AFRICA	Estimated Appraisal Date 01-Aug-2025	Estimated Approval Date 01-Sep-2025	Practice Area (Lead) Digital Development
Financing Instrument Investment Project Financing (IPF)	Borrower(s) Ministry of Information, Communication and Technology	Implementing Agency Ministry of Information, Communication and Technology	

Proposed Development Objective(s)

To increase access to high quality broadband internet services for government, businesses and citizens, and to improve the government's capacity to deliver digital public services.

PROJECT FINANCING DATA (US\$, Millions)

Maximizing Finance for Development

Is this an MFD-Enabling Project (MFD-EP)?	No
Is this project Private Capital Enabling (PCE)?	Yes

SUMMARY

Total Operation Cost	65.16
Total Financing	65.00
of which IBRD/IDA	65.00
Financing Gap	0.16

DETAILS

World Bank Group Financing

International Bank for Reconstruction and Development (IBRD)	65.00
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Environmental and Social Risk Classification

Moderate

Concept Review Decision

The review did authorize the preparation to continue

B. Introduction and Context

Country Context

1. **The Kingdom of Eswatini¹ (Eswatini) is a small lower middle income economy, largely driven by agro-trade and public sector investments.** With a land area of 17,364 km², population of 1.2 million, and Gross Domestic Product (GDP) per capita of approximately US\$3,822² in 2023 – Eswatini is a small economy. The economy is driven by agriculture and agro-processing industries (e.g., sugar industry at 15% of GDP), and public sector utilities. After a post-covid-19 recovery, real GDP growth averaged 4% in 2024 and expected to increase to 8% in 2025 on the back of expected public infrastructure investments³, including digitalization.
2. **The country heavily relies on its neighbors, and benefits from regional integration; single currency within the common market area (CMA), revenue sharing with the custom union (SACU) and membership in the regional economic community (COMESA).** For instance, Eswatini depends on South Africa for about 85 percent of imports and 60 percent of exports. Its domestic currency, the Lilangeni (SZL),⁴ is pegged at parity with the South African currency, the Rand, which is also legal tender in the country (as part of the common monetary area with South Africa, Lesotho, Namibia). Eswatini is a member of the Southern African Customs Union (SACU), which has a common external tariff policy. Members freely exchange goods internally and distribute the customs and excise taxes collected by the union among themselves- this arrangement has been crucial in supporting Eswatini's fiscal consolidation⁵. Eswatini is also a member of the Common Market for Eastern and Southern Africa (COMESA) benefitting from the wider regional trade and payments systems.
3. **A third of the population lives in rural areas, poverty and inequality remain the most stubborn primary development challenges.** Poverty levels have remained unchanged over the last five years, with approximately 36 percent of the population estimated to be living under the international US\$ 2.15 poverty line. Women, especially in rural areas, face higher vulnerability to poverty due to factors like limited access to education, employment opportunities, and land ownership.⁶ Income inequality is also high, with an estimated Gini coefficient of 54.6% in 2016, amongst the highest in the world.

Sectoral and Institutional Context

¹ Kingdom of Swaziland until May 11, 2018

² World Bank Group Data

³ Examples include expected investments towards the Mpakeni Dam in Lavumisa, Lower Maguduza Hydro Electricity project on the Lusutfu River and investments under the Government in Your Hand Strategy.

⁴ US\$ 1 ≈ SZL 17.95

⁵ In the fiscal year 2023/2024, SACU revenues more than doubled, reaching E11.75 billion. This substantial increase contributed to the narrowing of the overall fiscal deficit in Eswatini to 0.5 percent of GDP in 2023, down from 4.8 percent in 2022.

⁶ The Kingdom of Eswatini: Toward equal opportunity: Accelerating inclusion and poverty reduction – Systematic Country Diagnostic, World Bank



4. **Eswatini lacks universal internet access due to gaps in middle mile fiber infrastructure, creating a digital divide.** Access to high speed internet mobile (4G) is limited to 80% of the population, with rural-urban and gender disparities (70% in urban areas and 63% in rural areas⁷, 0.97 ratio of female-to-male internet use⁸), Nearly 2,000 kms of fiber links are missing, and regular copper line theft esp. in rural areas is observed, requiring significant investment in both building new and replacing existing copper with fiber links. Lack of middle mile infrastructure have left public institutions, esp. in hinterland areas with no connectivity (38 Thikundla Centers, 134 Health Centers, 859 Schools) and 14% people state 'No service available' as reason for not using internet.
5. **In areas of internet coverage, internet use is limited to less than half of the population, primarily on account of the price of data which remains high.** Mobile internet penetration is limited to 50.3%, and fixed-broadband penetration rate is only 1.6 percent of the population. Eswatini's ICT price basket for access to fixed broadband internet averaged 19.06 percent of GNI per capita per month, while Eswatini residents paid on average 3.4 percent of GNI per capita per month to buy the cheapest 2GB of mobile broadband data (above the global benchmark at 2 percent of individual's average monthly income).
6. **Market structure where exclusively licensed SOE is unable to keep up with servicing retail market demand resulting in duplication of infrastructure, inefficient pricing.** Given the small market (1.2Mn) of Eswatini, with high fixed costs of building broadband infrastructure and need for economies of scale, a single provider (Eswatini Post and Telecom Services -EPTC) was granted exclusive licensed to be the backbone/middle mile infrastructure provider. This is not uncommon in similar markets⁹. EPTC was expected to lease infrastructure to the ISPs/last mile providers at reasonable quality and price. Over time, however, the market has become increasingly competitive on the retail side (21 licensed ISPs, recent entry of Starlink, and growing share of Eswatini Mobile over MTN) and EPTC has been unable to meet the demands of ISPs for infrastructure at cost base price/quality.
7. **Lack of digital services such as digital social security transfers, payments, financial services, e-commerce is limiting wide-scale internet usage and also resulting in inefficiencies.** Eswatini's e-gov portal (online.gov.sz) offers few services (tax, utility services) whereas some services (e.g., Health) are provided independently, and other services on education and immigration remain offline. Majority of services are still delivered offline via Thikundla centers which often see long waiting lines, and transactions are carried out on paper-based systems causing inefficiencies and security risks. Gender differences are also observed in usage of digital services, only 14% of women made digital in-store payments and just 6% shopped online, compared to 17% and 12% of men, respectively.¹⁰ Digitalization of government services can help reduce the risk of fraud, enhance regulatory compliance, and expand internet usage.
8. **Digitalization of services at scale require digital public infrastructure (DPI)¹¹; (i) back-end interoperability frameworks (ii) Digital ID and -currently underdeveloped.** A whole of government approach led by MICT (entity recently tasked with mandate for setting up whole of e-gov systems), through establishment of a robust interoperability framework – i.e. system to modernize IT infrastructure, automate processes and connect siloed systems across MDAs is needed. As more transactions move online on the back of these interoperable systems, there is also a need for robust Digital Identification (Digital ID) to equip people with the ability to securely prove their

⁷ UNDP Digital Readiness Assessment, 2024

⁸ <https://digitalgendergaps.org/dashboard/>

⁹ Examples of natural monopoly models in wholesale broadband are found in countries with high investment costs in vast sparsely populated areas, such as NBN in Australia, Nippon Telegraph and Telephone Corporation in Japan, or small markets such as Islands Telcom in Iceland, among others.

¹⁰ The Global Findex Database, Year 2022 <https://www.worldbank.org/en/publication/globalfindex>

¹¹ DPI refers to a set of foundational systems and their organizational frameworks (for example, laws and institutions) that enable core functions in today's digital age, including the ability to verify identities, send and receive money, and exchange data.



identity digitally and carry out transactions completely online. For digital ID to be inclusive and trusted it must be supported by the Population Register (NPR) which would in turn require digitalization (mainly manual paper based records), and also be inclusive. In Eswatini, women are less likely to possess digital IDs, hindered by slightly lower birth registration rates (50.2% for females vs. 50.9% for males)¹², limited awareness, mobility restrictions, and complex application processes.

9. **Increasing digital usage is likely to increase risks pertaining to data protection and cybersecurity, which the country has only started preparing for.** The Data Protection Act (2023), Computer Crime and Cybercrime Act (2022) and National Cybersecurity Strategy (2022) were formulated providing a legal framework and strategic roadmap. However, implementation is slow due to a lack of supporting regulations and under-resourced regulatory agencies. For instance, the nation's critical infrastructure is vulnerable to possible cyber threats due to gaps in trust, safeguards, and resilience mechanisms, including lack of a Critical Information Infrastructure (CII) framework, a national Cyber Security Incident Response Team (CRIST), and limited human capacity in the field of cyber security. The 2024 DRA Survey identified online harassment as the most pressing digital threat, with almost 1/3rd of respondents highlighting this as a primary concern, followed by cyber-attacks (22.7%) and identity theft/online fraud (20.8%).
10. **The country's workforce, esp. youth is unprepared with the requisite digital skills to participate in the national digital transformation.** Eswatini has a high basic literacy rate (89.2%) but limited digital literacy. 2024 Digital Readiness Assessment identifies 'Lack of knowledge on how to use technology' as 1/3 top reasons for low digital adoption. Thikundla centers with active high speed internet connectivity, and digital devices can be used as citizen engagement points for not just delivery of digital services but also for hands on training on basic digital skills. Training for advanced digital skills are also needed. The National Skills Audit Industry Survey confirms how employers are looking for advanced competencies such as programming, cybersecurity, software engineering, design, and data analysis which remain limited. Bridging this supply-demand gap on skills will be crucial to allow the workforce, especially youth (32% of the population with the highest unemployment rate of 64% among other demographic groups¹³) to take part in the digital economy.

Relationship to CPF

11. **The project is aligned with the World Bank Group's Eswatini Country Partnership Framework (CPF) for FY2024-2028 (Report No.175427)¹⁴.** The project contributes directly to the High-Level Outcome 1 (HLO1) by addressing the CPF Objective 1 "improved conditions for private sector competitiveness". This objective recognizes the importance of telecom sector reform and improving backbone access (middle mile), reducing price of data improve service delivery for SMEs, citizens. Project activities on digital skills (comp 2.3) will advance HLO1 Objective 4 "enhanced market relevant skills for employability", and finally investments in shared infrastructure e.g., interoperability systems, digitalization of ID (comp 2.1,2.2) with spillover impact on digital services across sectors reflect the CPF's cross-cutting theme of digitalization.

C. Proposed Development Objective(s)

¹² World Bank Data https://data.worldbank.org/indicator/SP.REG.BRTH.FE.ZS?locations=SZ&utm_source=chatgpt.com

¹³ See: Eswatini.unfpa.org

¹⁴ <https://documents1.worldbank.org/curated/en/099042723094536162/pdf/BOSIB0d60aef2907709f760cc6d21fbe12f.pdf>



To increase access to high quality broadband internet services for government, businesses and citizens, and to improve the government's capacity to deliver digital public services.

D. Concept Description

Component 1: Affordable Broadband (US\$35Mn as IBRD credit). This component aims to expand access to affordable broadband connectivity through a sequential roadmap of reform. The first step towards reform would begin with the financial stabilization of EPTC through a lending program aimed at improving its financial health—addressing pension liabilities and strengthening financial management, combined with accounting separation mandated for the various arms of EPTC. Parallel to this would be investment in the deployment of national broadband infrastructure, and capacity purchases for government institutions and broader public internet access. Both these steps are assessed to directly contribute to a reduction in price for bandwidth by addressing EPTC's cost overruns and support EPTC's business operations through targeted technical assistance on performance improvement. ESCCOM is expected to closely support and monitor these developments via performance conditions, including audits, and a cost-of-service model. In the longer term, to increase private sector participation, restructuring of EPTC would be explored. This would be accompanied by regulatory reforms such as revising the Electronic Communications Act (particularly around exclusivity provisions) to ensure transparency, competition, and sustainability.

Component 2. Government in Your Hand (US\$25Mn IBRD credit). Building on the infrastructure investments towards universal connectivity under component 1, this component will support uptake of connectivity via complementary interventions e.g., digitalizing of health and education services to be provided via connected institutions. This component will support: (i) deploying DPI building blocks (interoperable systems, digital ID) to enhance efficiencies in both public and private sectors, and enhance digital safeguards (Data protection, cybersecurity) needed to promote trusted and safe use of digital technologies and further uptake of digitally enabled services; (ii) Supporting digitalizing priority government services through digitalizing paper records, setting up digital systems and (iii) building a critical mass of digitally skilled workers feeding into the nationwide digital transformation government in your hand effort. All IT equipment to be procured and installed under subcomponents 2.1 and 2.2 (estimated cost ~\$5Mn) will be energy efficient and will be Energy-Star certified or equivalent that will surpass the country's existing energy efficiency levels¹⁵.

Component 3: Program Management and Capacity Building (US\$5Mn in IBRD credit). This component will finance the recipient's project management and coordination capacity, including procurement, FM, M&E, and ESS management. Specifically, this component would include the following: (a) operating, meeting, basic equipment, and staff costs of the PIU and technical committee, as well as the recruitment of expert consultants in key areas, such as project management, technical advice, and support for implementation; (b) support for stakeholder consultations, development of ESS instruments, and site-specific assessment and plans (including e-waste), and grievance redress mechanisms; (c) M&E and citizen feedback, paying special attention to ensuring that project interventions are designed to maximize the participation of women and PWDs in all activities and collecting gender-disaggregated data, where possible; (d) communications costs to, among others, support change management; (e) auditing, procurement planning, and quality assurance to ensure

¹⁵ There are no minimum energy performance standards or labeling schemes on energy efficiency for IT equipment in Eswatini.



adherence to best practices on procurement related to technology; (f) training and field visit, study tours; and (g) independent verification agent/third-party monitoring, as needed.

Legal Operational Policies

Policies	Triggered?
Projects on International Waterways OP 7.50	No
Projects in Disputed Area OP 7.60	No

Summary of Screening of Environmental and Social Risks and Impacts

Environmental and social risk is considered Moderate. The environmental, health and safety (EHS) risks and impacts associated with the activities under the Project are considered site specific, predictable and temporary and can be managed by known mitigation measures. Activities under sub-components 1.2 include installation, repair and upgrading of fiber optic cables and connectivity of schools, health facilities and Tinkhundla Centers within existing urban and peri-urban areas. Activities under sub-component 2.1 will support purchasing of biometric and other electronic equipment to support the operationalization of government e-services. The project will support Technical Assistance (TA) under Components 1 and 2 for capacity building, rolling out of digitalization roadmaps including digital Identification documents, cyber security, data protection and other governmental electronic services. Key EHS risks and impacts related to the activities under sub-component 1.2 and 2.1 include: (i) terrestrial habitat alteration and vegetation loss due to land clearing for installation of fiber optic cables, (ii) dust emissions (iii) soil erosion and sedimentation, (iv) soil and water contamination from oil and fuel leaks (v) traffic flow disruptions and traffic safety risks, (vi) Greenhouse gas (GHG) emissions from construction vehicles, (vii) exposure of workers to potential sub-terrain electrical hazards, (viii) ergonomic risks due to manual handling, (ix) hand injuries from handling and laying of optic fibers (x) potential eye injuries associated with extended exposure to laser light during inspections and (xi) falling from heights. Long term operational impacts associated with digital installations and downstream activities supported by the TA include increased (i) energy consumption and associated GHG emissions, (ii) increased electromagnetic radiation and (iii) generation of electronic waste.

The use of the Borrower Framework is being proposed to manage environmental risks as set forth in the issuance of the Environmental Compliance certificate or authorization letter and monitoring compliance by EEA. Under the borrower's framework, an E&S Project Brief to identify and assess potential E&S impacts and an Environmental and Social Management Plan (ESMP) will be prepared addressing the requirements of paragraph 52 of ESS1, after project approval, to mitigate risks associated with the installation and operational phases of the project. Gaps between the borrower framework and the ESF requirements; relevant to this project; largely exists with the identification and management of occupational health and safety hazards and risks (ESS2), preparation of emergency response plans (ESS4), and need for consultations related to impacts on tangible and intangible cultural heritage and equitable benefits sharing (ESS8). Gaps will be addressed through the preparation of an ESMP inclusive of an occupational health and safety plan and a Labor Management Plan. To manage downstream electronic waste that will be generated, an electronic waste management plan will form part of the ESMP. A PIU will be established under the MICT to oversee the preparation and implementation



of E&S instruments. An Environmental, health and safety and Social Specialist will be appointed as part of the PIU within the timeframe stipulated in the ESCP for the duration of the project.

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APPROVAL

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